ECB stands ready to act on contagion, cautious on France

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Presidential frontrunner Marine Le Pen is unlikely to significantly revise her economic program before the 2 May runoff, setting up a potential confrontation with bond investors over the sustainability of her fiscal plans.

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The passage of a 2027 budget by Prime Minister Sebastien Lecornu’s minority government would strengthen the case for European Central Bank (ECB) intervention to calm the French bond market, though the bank is unlikely to do so in response to market reactions to Le Pen’s campaign pledges alone.

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The ECB would be more likely to act to prevent contagion from France to the wider Eurozone, particularly given that the bank’s Transmission Protection Instrument (TPI) was created to counter unjustified divergence in borrowing costs across member states and other member states will likely remain broadly compliant with the EU’s fiscal rules.

Le Pen’s economic platform lacks credibility. On 6 October, Le Pen unveiled a revised economic program that was mostly a reworking of the much-criticized budget proposals of her 2022 presidential campaign. Her plan to reduce the French deficit from 5.4% of GDP in 2026 to 3% of GDP over four years is largely based on measures that are unrealistic (€20 billion over five years from cracking down on fraud), difficult to implement (withholding €20 billion in France’s legally mandated payments to the EU budget), or would need much more time to yield the promised savings. Meanwhile, many of her proposals—such as reducing VAT on diesel and petrol from 20% to 5%, abolishing three business taxes, and reducing the retirement age—would exacerbate France’s fiscal challenges.

Further moderation is unlikely before the elections. Further substantial change to Le Pen’s economic plan is unlikely before the elections. Ideology and electoral considerations shape the thinking of Le Pen’s economic team more than investor concerns. While Le Pen is somewhat worried about the market reaction if she reaches the Elysee Palace, she is more concerned about getting there.

The bar for ECB intervention in the French bond market is high. The TPI gives the ECB ample discretion to intervene in bond markets, even without a bailout from the European Stability Mechanism, which was needed for Outright Monetary Transactions. Nonetheless, a spiraling fiscal crisis in France, especially if triggered before the presidential election, would put the ECB in a very difficult position. The central bank

would be caught between the need to preserve Eurozone financial stability and the integrity of the monetary transmission mechanism and the moral hazard that any large-scale purchase of French debt could create.

If Lecornu's minority government is able to pass a budget for 2027—Eurasia Group's basecase—the ECB would have more grounds to activate, if not implement, the TPI for France. Assuming no major dilutions, the budget would bring France into compliance with its obligations under the EU's fiscal rules, curbing France's net expenditure growth at 0.7% when its ceiling for next year is 1.2%. This would be a key factor in deciding whether further increases in France's risk premia were justified.

However, financial market reactions to statements made by presidential candidates during an election campaign would not justify ECB support. Intervening too soon or too forcefully would risk reducing pressure on an incoming Le Pen government to undertake much-needed fiscal consolidation. It would also expose the ECB to significant criticism from more fiscally conservative member states. Ideally, the ECB would want to see a credible fiscal adjustment plan before intervening at scale.

Several other factors could further complicate the ECB's intervention in the French bond market. French banks are less exposed to pressure on domestic sovereign bonds than periphery lenders. This makes the core basis for TPI, the need to ensure the adequate transmission of monetary policy decisions, harder to justify. Furthermore, other TPI eligibility criteria, notably a favorable debt sustainability analysis, may be harder for France to meet.

Le Pen's broader European agenda would further complicate ECB decision-making. She is likely to seek to offset domestic spending by withholding France's contributions to the EU budget, provoking a confrontation with Brussels (see: Le Pen will aim to address market fears , 2 October 2026). The ECB's willingness to activate the TPI would depend partly on how strongly EU leaders and the European Commission respond. The broader political environment would therefore weigh heavily on its deliberations.

The ECB would act to prevent contagion to the wider Eurozone. The TPI was created in July 2022 precisely to protect "innocent bystanders"—member states implementing prudent fiscal policies—from the adverse effects of the bank's planned rate-tightening cycle at the time. As all member states are broadly complying with the EU's fiscal rules—namely, keeping annual net expenditure growth within agreed multi-year limits—the ECB will have good grounds to use the TPI to prevent fiscal spillovers from France to other countries' bond markets.

The TPI would not be the ECB's first policy response. ECB President Christine Lagarde is likely to provide some guidance on the ECB's reaction function to the challenges emerging in France at her press conference on Thursday. The Governing Council could signal that the bank "stands ready to use all the tools at its disposal." If the TPI were activated during a period of market volatility and rising risks to growth and inflation, the ECB could halt quantitative tightening, resume reinvestment of maturing ECB bond holdings, or ultimately resume interest rate guidance.

Happy to discuss,

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